EQUITY RESEARCH | EARNINGS UPDATE

PB Fintech Ltd (Policybazaar)

Q1 FY27: A strong quarter, overtaken by the regulator

Results reported 5 August 2026

Q1 FY27 was a clean beat; IRDAI has since rewritten the debate. Revenue of Rs 1,888 Cr (+40% YoY) came in 3.4% above consensus, adjusted EBITDA doubled to Rs 186 Cr and PAT of Rs 163 Cr (+92% YoY) beat consensus EPS by 15%, the fourth straight EPS beat. Seven weeks later, IRDAI's 23 September consultation paper proposing product-level commission caps took the stock from about Rs 1,886 to Rs 980, its IPO price, in six sessions. It now trades at Rs 1,067.

- **Beat driven by insurance.** Core new health premium grew 59% and new protection premium 53%; core online insurance take rate rose to 18.5% from 17.9%.
- **Operating leverage is real.** Core online adjusted EBITDA margin expanded to 19% from 14%; new initiatives losses narrowed to -5% of revenue.
- **Renewals are the cushion.** Rolling 12-month renewal and trail revenue reached Rs 1,003 Cr (+38%), with the quarterly run-rate up 48%.
- **The cap is the thesis.** Management has said the draft caps could remove about 30% of revenue before mitigation. Our base case assumes a softened final rule and partial offsets, cutting FY28E PAT by 26% against a no-regulation path.
- **Illustrative HOLD, scenario value Rs 975.** The stock already prices a meaningful hit; the range of outcomes (Rs 504 to Rs 1,373) is too wide to lean either way before the final rule.

Key data

Illustrative rating	**HOLD**
Scenario value	**Rs 975**
Price (13 Oct 2026)	**Rs 1,067**
Implied return	**-9%**
Market cap	**~Rs 48,500 Cr**
52-week range	**Rs 945 - 1,964**
NSE ticker	**POLICYBZR**
FY27E revenue	**Rs 8,747 Cr**
FY27E PAT	**Rs 931 Cr**
FY28E EPS (base)	**Rs 21.5**
P/E FY28E (base)	**~50x**
Next results	**By 14 Nov 2026**

Rating and value are an illustrative academic view, not investment advice. Estimates are ours; consensus from MarketScreener.

Table 1: Q1 FY27 results summary (Rs Cr unless stated)

Metric	Q1 FY27	Q1 FY26	YoY	Q4 FY26	QoQ	Consensus	vs cons.
Revenue from operations	1,888	1,348	+40%	2,061	-8%	1,825	+3.4%
Adjusted EBITDA (ex-ESOP)	186	89	+109%	280	-34%	n.a.	n.a.
Adj. EBITDA margin	9.9%	6.6%	+330bp	13.6%	-370bp		
Reported EBITDA	139	34	+309%	218	-36%		
PAT	163	85	+92%	261	-38%	~142	+15%
EPS (Rs)	3.50	1.82	+92%	5.61	-38%	3.06	+14.6%
Total insurance premium	8,372	5,928	+41%	9,217	-9%		
Core online revenue	1,194	835*	+43%				
New initiatives revenue	694	514*	+35%				
Core online adj. EBITDA margin	19%	14%	+5pp				
New initiatives adj. EBITDA margin	-5%	-6%	+1pp				

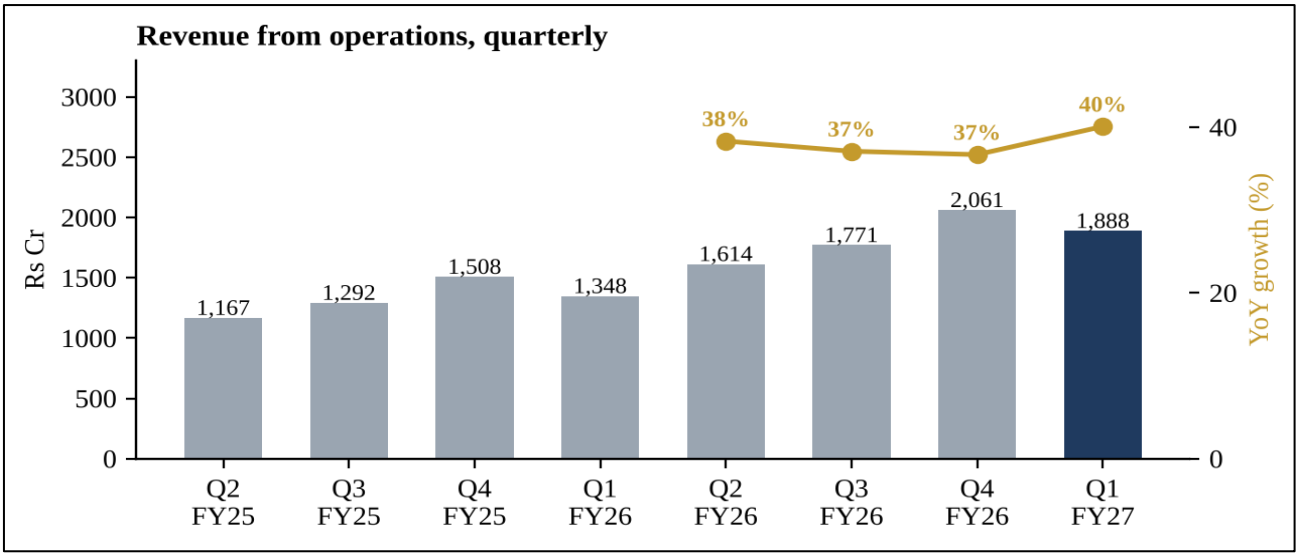
Source: Q1 FY27 earnings call deck (5 Aug 2026); Multibagg, Q1 FY27 analysis; INDmoney, Q1 FY27 results note (6 Aug 2026); MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026); Inc42, Q4 FY26 results (6 May 2026). **Q1 FY26 segment revenue derived from reported Q1 FY27 values and YoY growth. Consensus PAT is consensus EPS x 46.27 Cr shares. Q4 FY26 reported EBITDA from Inc42*

1. The quarter: broad-based beat

PB Fintech reported Q1 FY27 (April to June 2026) on 5 August 2026. Revenue from operations of Rs 1,888 Cr grew 40% year on year and was 3.4% above the MarketScreener consensus of Rs 1,825 Cr. EPS of Rs 3.50 was 14.6% above consensus of Rs 3.06. This was the fourth consecutive quarter in which EPS beat, after misses in three of the four quarters to Q1 FY26 (Figure 4). The sequential decline from Q4 FY26 is seasonal: the March quarter carries tax-season savings and life business, and Q4 FY26 also benefited from the GST exemption on retail health and term premiums, effective September 2025.

Sell-side reaction on the day was uniformly positive on the print, with reservations on regulation and valuation. UBS and Bernstein called out revenue and profit ahead of estimates; Morgan Stanley saw the adjusted EBITDA margin in line but the absolute figure ahead on higher revenue; Nomura highlighted improving take rates and contribution margins. The stock rose about 1.4% on 6 August to around Rs 1,643.

Figure 1: Revenue grew 40% YoY, the fastest in eight quarters



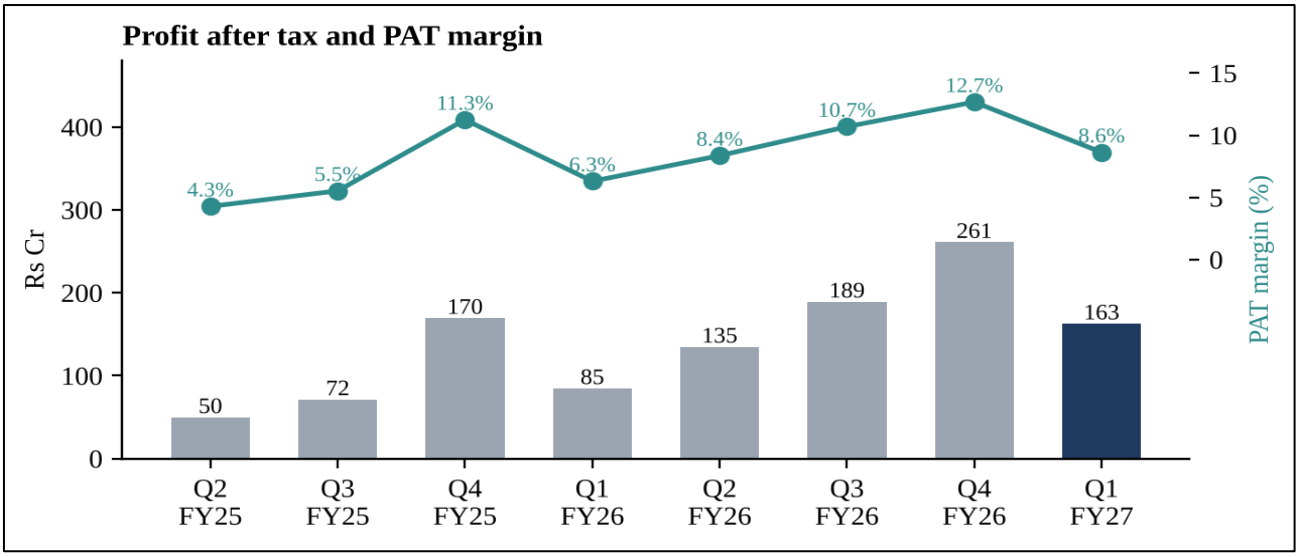
Source: MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026); 5paisa, quarterly results table; Inc42, Q4 FY26 results (6 May 2026). *Q2 FY25 to Q4 FY25 revenue from MarketScreener (INR mn converted)*

Where the upside came from

Insurance did the work. Insurance broking revenue rose about 46% to Rs 1,728 Cr, versus 25% for core credit. Within insurance, core new health premium grew 59% and new protection premium (health plus term) 53%, both well above total premium growth of 41%. That mix shift lifted the core online insurance take rate to 18.5% from 17.9% a year earlier, so revenue grew faster than premium. Core new premium excluding savings grew 48%, the thirteenth consecutive quarter above 34%.

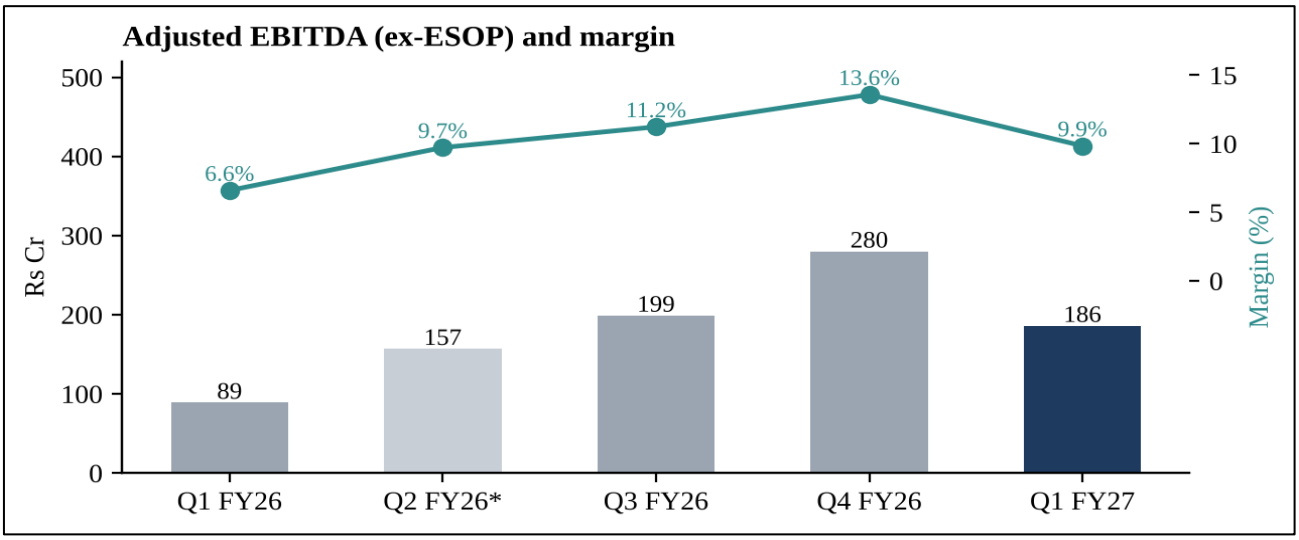
Profit growth outran revenue. Adjusted EBITDA rose 109% to Rs 186 Cr and the margin expanded about 330bp to 9.9%. Reported EBITDA, after Rs 47 Cr of ESOP cost, was Rs 139 Cr. PAT of Rs 163 Cr exceeded reported EBITDA because of treasury income on the company's cash, a recurring feature of this P&L. The PAT margin reached 8.6%, against 6.3% a year earlier.

Figure 2: PAT nearly doubled YoY; margin below Q4 on seasonality



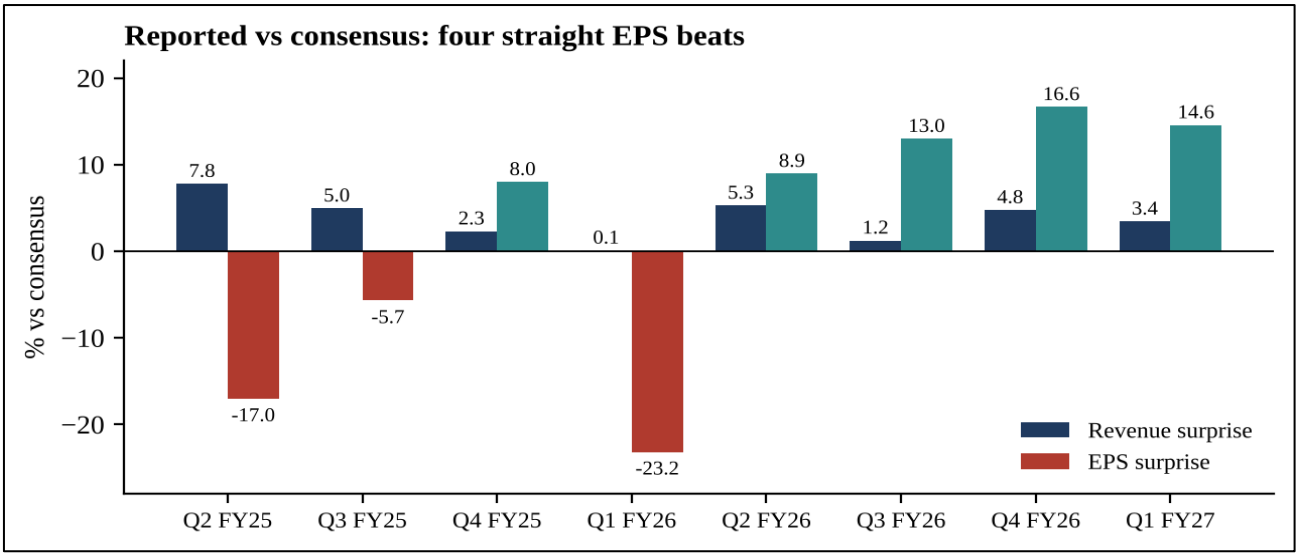
Source: MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026); Inc42, Q4 FY26 results (6 May 2026); Inc42, Q3 FY26 results (Feb 2026); Multibagg, Q1 FY27 analysis. *Q2 FY25 PAT approximated from reported EPS of Rs 1.09*

Figure 3: Adjusted EBITDA margin up 330bp YoY to 9.9%



Source: Multibagg, Q1 FY27 analysis; Inc42, Q4 FY26 results (6 May 2026); Inc42, Q3 FY26 results (Feb 2026); Quartr, Q4 FY26 earnings summary. **Q2 FY26 derived as FY26 adjusted EBITDA of Rs 725 Cr less the other three quarters*

Figure 4: Revenue has beaten consensus in every one of the last eight quarters



Source: MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026). *Consensus provider and analyst count not disclosed by MarketScreener*

2. Segments and operating metrics

Core online: margins stepping up

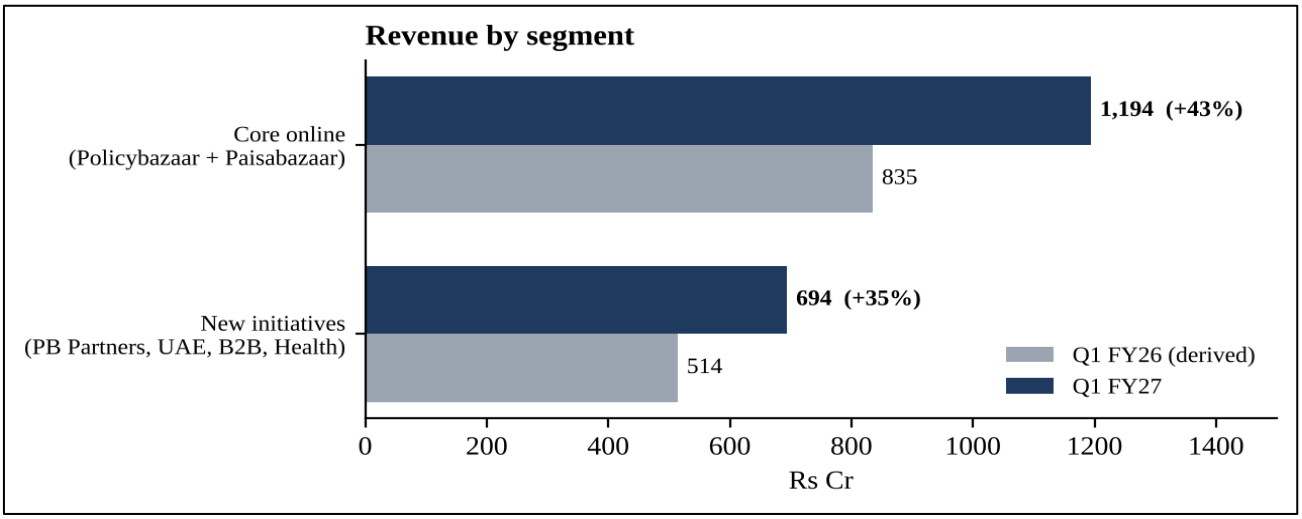
Core online (Policybazaar and Paisabazaar direct-to-consumer) grew revenue 43% to Rs 1,194 Cr and produced Rs 222 Cr of adjusted EBITDA, a 19% margin against 14% a year earlier. This is the clearest evidence for the operating-leverage case: contribution margins are high (around 44% for core online in FY26) and fixed costs are being spread over a larger renewal-heavy book.

Paisabazaar is recovering from a reset rather than driving growth. Core credit disbursals rose 33% to Rs 2,776 Cr and core credit revenue 25% to Rs 127 Cr, the fourth consecutive quarter of growth. Total disbursals of Rs 4,366 Cr compare with Rs 7,003 Cr a year earlier, but management says the two are not comparable because of a change in partner-led volumes. The credit business runs at roughly break-even operating EBITDA on a 41% contribution margin. Daily SIP and bond products launched in August are early attempts to add fee lines that do not depend on insurance commissions.

New initiatives: losses narrowing, still loss-making

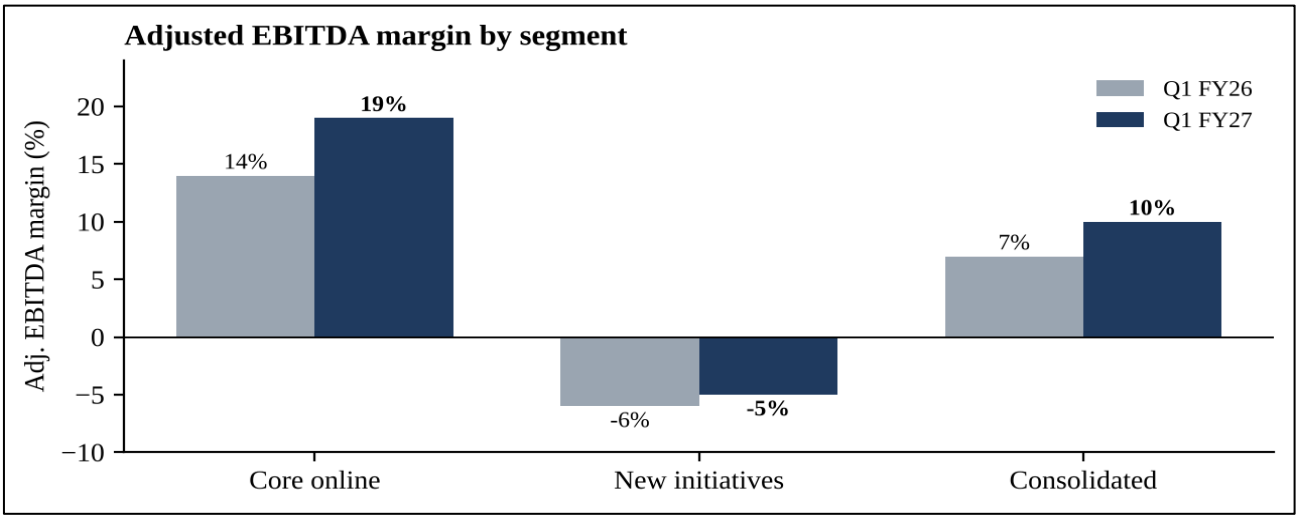
New initiatives (PB Partners, Policybazaar for Business, UAE, PB Connect and PB Health) grew revenue 35% to Rs 694 Cr. The segment lost Rs 36 Cr at the adjusted EBITDA level, -5% of revenue against -6% a year earlier, and its contribution margin improved to 7% from 5%. PB Partners, the agent-assisted channel, is the bulk of it: premium of Rs 1,637 Cr (+46%), revenue of Rs 561 Cr and 1.13 lakh active partners (+55%), with 78% of premium from Tier 2 and Tier 3 towns. The UAE business grew premium 31% and has been profitable since FY26. PB Health, the hospital venture, targets a Rs 500 Cr annual run-rate and break-even by March 2027.

Figure 5: Core online grew faster than new initiatives



Source: Multibagg, Q1 FY27 analysis; INDmoney, Q1 FY27 results note (6 Aug 2026); Investing.com, Q1 FY27 slides summary (5 Aug 2026). *Q1 FY26 values derived from Q1 FY27 revenue and reported YoY growth*

Figure 6: Core online margin up 5pp; new initiatives losses narrowing

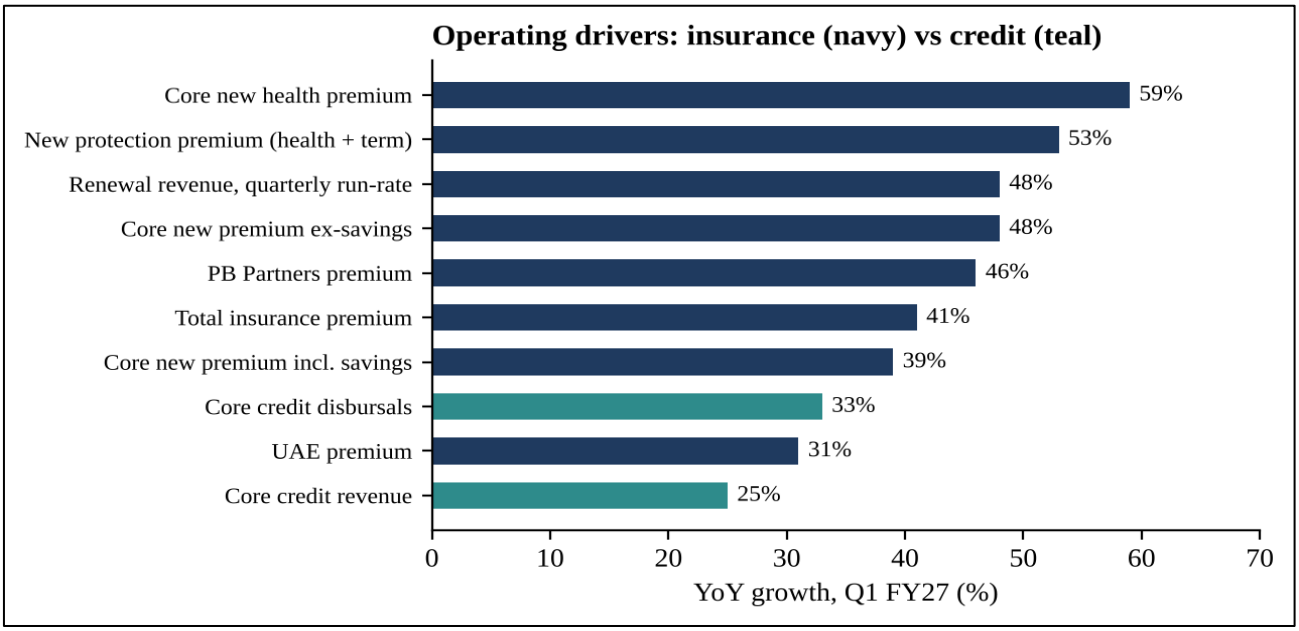


Source: INDmoney, Q1 FY27 results note (6 Aug 2026); Investing.com, Q1 FY27 slides summary (5 Aug 2026); Multibagg, Q1 FY27 analysis

Renewals: the annuity that matters most now

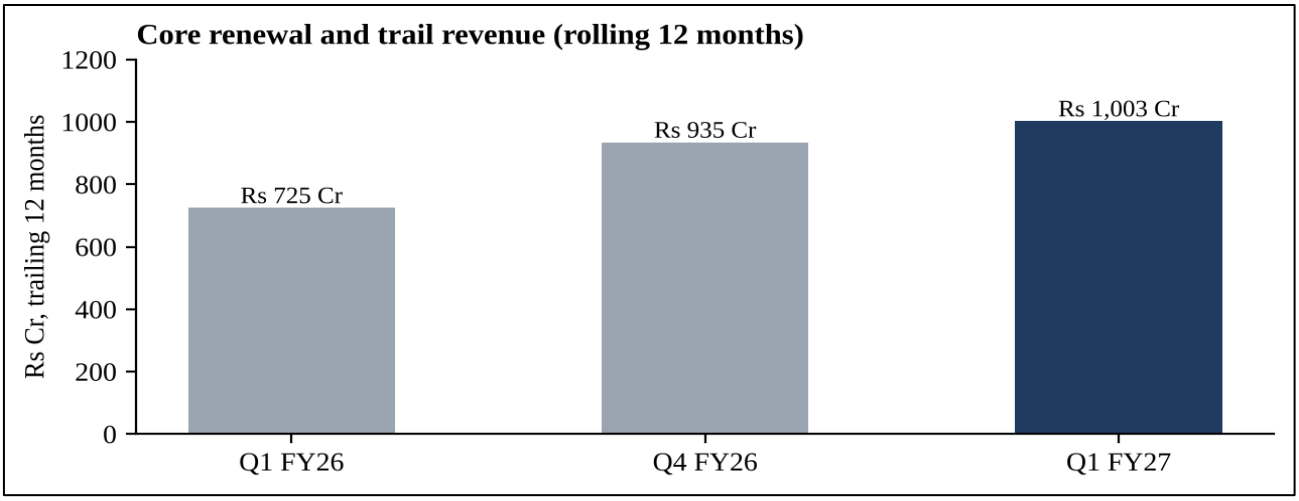
Rolling 12-month core renewal and trail revenue reached Rs 1,003 Cr, up 38% from Rs 725 Cr, and the quarterly run-rate was Rs 999 Cr annualised against Rs 673 Cr (+48%). Management expects renewal growth to remain above 50% for some time. Before September this was the core of the bull case: renewals carry almost no acquisition cost, so each rupee drops largely to EBITDA. After September it is also the most exposed line, because the draft rules propose a 5% cap on health renewal commissions for large distributors.

Figure 7: Health and protection led growth; credit lagged



Source: Multibagg, Q1 FY27 analysis; INDmoney, Q1 FY27 results note (6 Aug 2026); Investing.com, Q1 FY27 slides summary (5 Aug 2026). *Renewal run-rate growth computed from Rs 999 Cr vs Rs 673 Cr*

Figure 8: Renewal and trail revenue crossed Rs 1,000 Cr



Source: Multibagg, Q1 FY27 analysis; INDmoney, Q1 FY27 results note (6 Aug 2026); Inc42, Q4 FY26 results (6 May 2026)

3. Guidance and management commentary

PB Fintech does not give formal quarterly guidance. The relevant markers are:

- **Growth:** management has maintained a roughly 30% growth ambition and flagged softer H2 FY27 growth because of the GST base effect (the exemption on retail health and term premiums took effect in September 2025, flattering H2 FY26).
- **Profit:** an FY27 group PAT goal of about Rs 1,000 Cr has been cited, and a long-term PAT target of about 3% of premium against roughly 2% today.
- **Investment posture:** growth is prioritised over near-term margin; AI spend is framed around conversion and productivity (advisor productivity and conversion each up about 20%) rather than headcount reduction.
- **Post-paper commentary (24 September analyst call):** management said the draft caps could remove about 30% of revenue, driven by general insurance, with life largely unaffected. It assumes price elasticity of at least

1, expects 15-20% volume growth to offset part of the loss, plans to slow hiring (about 6,000 people were added in H1, against perhaps 2,000 had the draft been known), and said it could consider an insurance manufacturing licence if distribution economics no longer work.

Our FY27E PAT of Rs 931 Cr sits about 7% below the Rs 1,000 Cr ambition. The gap reflects the H1 hiring step-up feeding through to costs and a slower H2 on the GST base. It does not assume any regulatory impact in FY27.

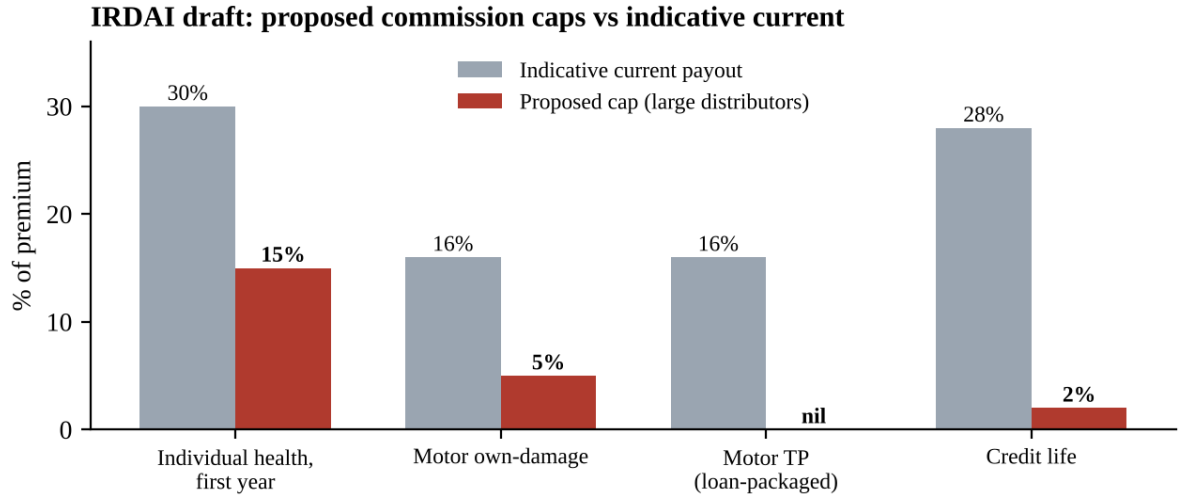
4. Thesis update: from execution to regulation

Before 23 September the debate on PB Fintech was about how long it could compound premium at 35-40% while expanding margins, and what multiple that deserved. Q1 answered the first half emphatically. The consultation paper changed the question to how much of the revenue pool survives.

What IRDAI has proposed

IRDAI's papers on recalibrating insurance distribution economics, released 23 September 2026, propose to reinstate product-level commission caps (removed in April 2023 in favour of an overall expense limit), tighten insurers' expense-of-management limits over five years, require disclosure of distributor remuneration, and introduce clawbacks for mis-selling. For large distributors, reported draft caps include 15% on first-year individual health (against roughly 30% today), 5% on health renewals, 5% on motor own-damage and nil on motor third-party. Marketing and technology payouts would count inside the caps, which addresses the rewards that have reportedly added 30-60% to base commissions. Distributors would get a 10-20% uplift for business in smaller towns.

Figure 9: Draft caps are a fraction of current payouts



Source: MediaNama, 24 Sep analyst call (28 Sep 2026); smallcase, IRDAI commission rules and Policybazaar; Business Today, share price fall (24 Sep 2026). *Current payouts are indicative industry levels cited in press reports (IIFL Securities via Business Today; MediaNama), not PB Fintech-specific disclosures*

The process is still open. Comments close on 25 October; draft regulations would follow with another round of consultation. IRDAI has said getting the reforms right matters more than speed, but a whole-time member has also indicated caps could apply as early as January 2027 and would not be phased in, to avoid pre-cut sales rushes. Expense limits would get the five-year transition. Industry is pushing back hard: the brokers' association warns of a 60-70% revenue cut for the sector.

How exposed is PB Fintech?

Insurance commissions were about Rs 6,089 Cr of Rs 6,794 Cr FY26 operating revenue, roughly 90%. General insurance (health and motor) is about half of core revenue, and health is the fastest-growing and highest take-rate line. That combination is exactly where the draft bites. Management's own arithmetic is that a 60% cut to general insurance commissions removes about 30% of group revenue. Sell-side estimates span a similar range: Motilal Oswal sees FY28 core online insurance revenue down about 30% and a 46% earnings hit before offsets; Macquarie estimates a two-point take-rate cut (18.5% to 16.5%) would reduce EBITDA by about 25%; Jefferies estimates a 10-12% earnings cut for every 10% cut in commission rates.

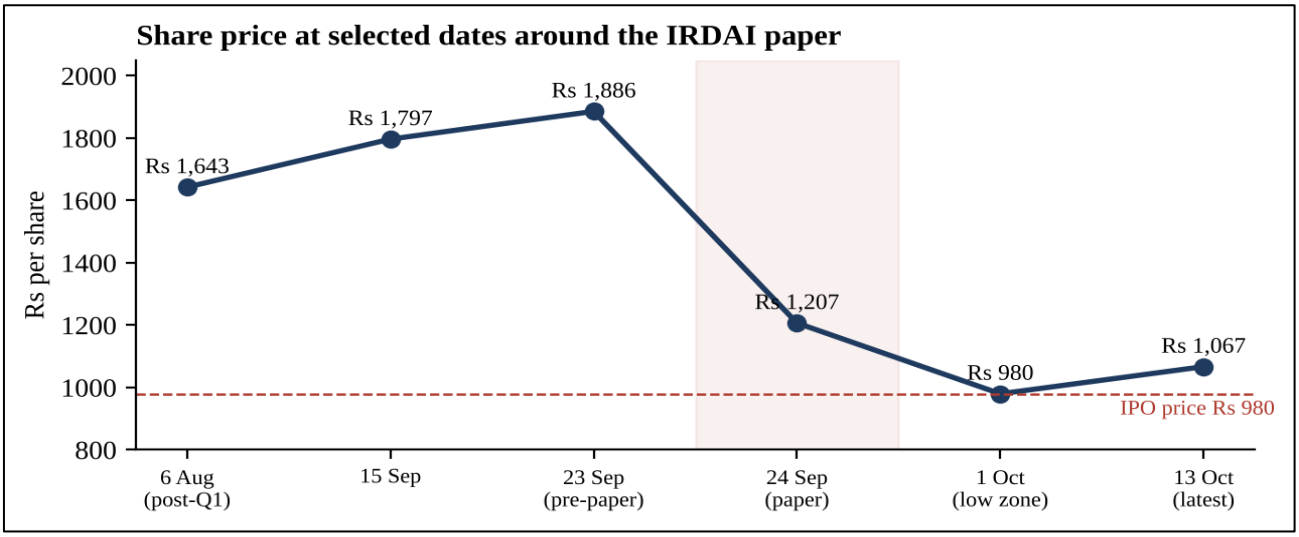
Because most costs (contact centres at about 20% of revenue, brand and performance marketing, technology) do not flex automatically with take rate, a revenue cut falls disproportionately on EBITDA. The mitigants are real but

partial: lower commissions could lower premiums and lift volumes; marketing spend is discretionary; and outcome-linked fees (persistency, claims), service revenues (garages, PB Health) and possibly a manufacturing licence are longer-dated options.

Bull and bear, revised

- **What still holds:** consumer franchise and share in fresh retail health (management estimates about 18-20%), 28 million transacting customers, a renewal book above Rs 1,000 Cr, net cash, and demonstrated operating leverage.
- **What has changed:** the take rate, previously a tailwind as mix shifted to health, is now the main risk. The renewal annuity, the most valuable part of the model, faces the steepest proposed cut. Visibility on FY28 earnings is low until a final rule exists.
- **What would change our view:** a final rule that exempts renewals or sets health caps well above 15%; evidence in Q2/Q3 that volume is rising enough to offset take rate; or sharper-than-expected cost action.

Figure 10: Stock round-tripped to its IPO price in six sessions



Source: Upstox, analyst reactions to Q1 FY27 (6 Aug 2026); Univest, Q2 FY27 preview (15 Sep 2026); smallcase, IRDAI commission rules and Policybazaar; Mint via TradingView, 48% fall in six sessions (1 Oct 2026); INDmoney, share price (13 Oct 2026 close). *Selected quoted prices from news reports, not a continuous daily series*

5. Estimates

This is our first published view on the name, so the comparison below is against MarketScreener consensus rather than prior house estimates. Consensus FY28 figures appear not to have been fully revised for the consultation paper; several brokers cut targets in late September while leaving FY27-FY28 earnings largely unchanged.

FY27E. We model Q2-Q4 revenue growth of 32%, 25% and 22%, slowing on the GST base, for FY27E revenue of Rs 8,747 Cr (+29%), 2% below consensus. We assume a 12% adjusted EBITDA margin, ESOP cost of about Rs 220 Cr, other income of about Rs 360 Cr and a 13% effective tax rate, giving PAT of Rs 931 Cr (EPS Rs 20.1), 11% below consensus. We assume no regulatory impact in FY27; a January 2027 start would put Q4 FY27 at risk.

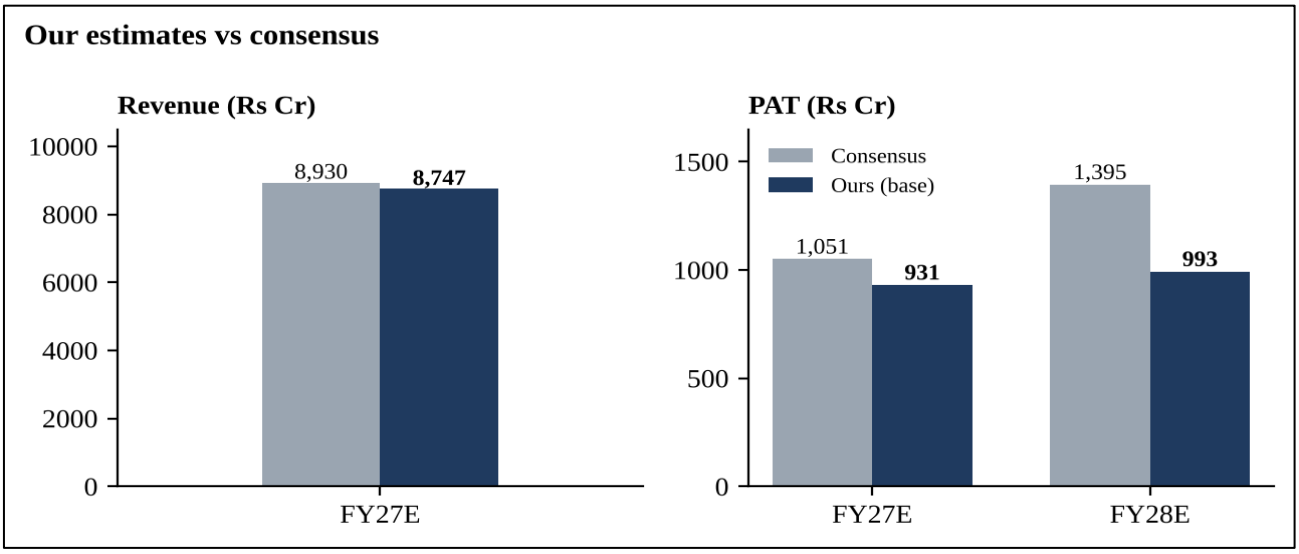
FY28E. Our no-regulation path would be revenue of Rs 11,108 Cr and PAT of Rs 1,344 Cr (EPS Rs 29.1), close to consensus EPS of Rs 30.1. Our base case instead assumes caps take effect in FY28 in a softened form: a 20% gross cut to insurance revenue, an 8% volume offset and a 10% reduction in the cost base. That gives revenue of Rs 9,749 Cr, an 11.8% adjusted EBITDA margin and PAT of Rs 993 Cr (EPS Rs 21.5), 26% below the no-regulation path and 29% below consensus.

Table 2: Estimate changes (Rs Cr unless stated)

	FY26A	FY27E cons.	FY27E ours	Diff.	FY28E cons.	FY28E ours	Diff.
Revenue	6,794	8,930	8,747	-2%	n.a.	9,749	n.a.
Adjusted EBITDA	725	n.a.	1,050		n.a.	1,151	
Adj. EBITDA margin	10.7%		12.0%			11.8%	
PAT	670	1,051	931	-11%	1,395	993	-29%
EPS (Rs)	14.6	22.7	20.1	-11%	30.1	21.5	-29%
Memo: FY28E PAT, no regulation						1,344	-4%

Source: MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026); Inc42, Q4 FY26 results (6 May 2026); Quartr, Q4 FY26 earnings summary. *Consensus annual figures are sums of MarketScreener quarterly consensus; PAT = EPS x 46.27 Cr shares. Our estimates are illustrative and built from a simple revenue-to-PAT bridge*

Figure 11: Our base case sits well below consensus for FY28



Source: MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026). *Our estimates; consensus from MarketScreener*

6. Valuation and scenarios

A single-point FY28 estimate is not meaningful while the rule is in draft, so we value three scenarios and weight them. Each adds net cash of about Rs 47 per share (Rs 2,532 Cr of cash and short-term investments less Rs 360 Cr of debt at March 2026; including longer-dated treasury, JM Financial has cited above Rs 5,000 Cr, so this is conservative).

Table 3: Scenario framework, FY28E

	Bear (25%)	Base (50%)	Bull (25%)
Final rule	Draft as proposed, Jan 2027	Softened, FY28 start	Renewals exempted, caps diluted
Gross hit to insurance revenue	-30%	-20%	-10%
Volume offset	+5%	+8%	+5%
Cost-base reduction	-16%	-10%	-3%
Revenue (Rs Cr)	8,459	9,749	10,558
Adj. EBITDA margin	5.1%	11.8%	12.2%
PAT (Rs Cr)	369	993	1,115
EPS (Rs)	8.0	21.5	24.1

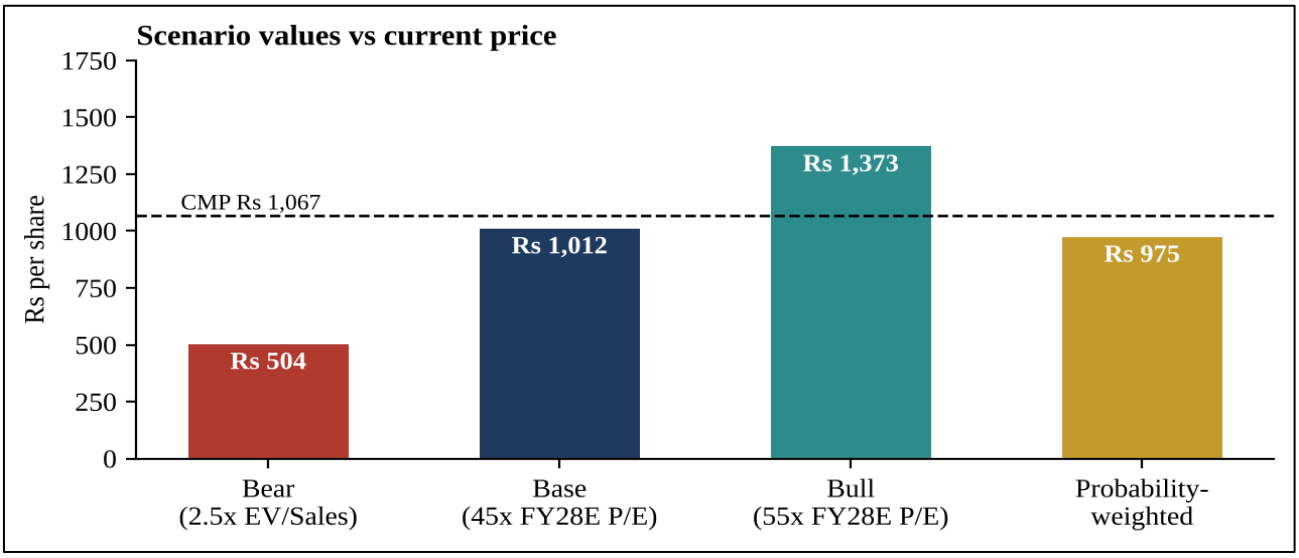
	Bear (25%)	Base (50%)	Bull (25%)
Valuation basis	2.5x EV/Sales	45x P/E	55x P/E
Value per share (Rs)	504	1,012	1,373
vs CMP Rs 1,067	-53%	-5%	+29%

Source: StockAnalysis, balance sheet FY26; INDmoney, share price (13 Oct 2026 close); MediaNama, 24 Sep analyst call (28 Sep 2026); The Strategy Story, IRDAI commission reset. *Our scenario assumptions. Bear uses EV/Sales because trough earnings understate value; 2.5x compares with about 5.3x FY27E today*

Probability-weighted value: Rs 975, 9% below the current price. The multiples are deliberately below the 60-110x the stock traded at before September, reflecting lower visibility and a lower long-run take rate, but still above Indian financials because growth after the reset should remain in the 20s. The base-case multiple is the most sensitive input: every 5x on FY28E base EPS moves the base value by about Rs 108.

For context, post-paper brokerage targets range from Rs 1,085 (Bernstein, cut from Rs 2,310) and Rs 1,150 (HSBC Hold; Motilal Oswal Neutral) to Rs 1,540 (Jefferies). Our value sits below that range because our base case cuts FY28 earnings, which most brokers had not yet done.

Figure 12: Wide range of outcomes; weighted value close to the price



Source: Mint via TradingView, 48% fall in six sessions (1 Oct 2026); INDmoney, share price (13 Oct 2026 close). *Our scenario values*

Illustrative rating: HOLD. The stock has already absorbed a large part of our base case, and the bull case (renewals protected, health caps diluted) is plausible given the pushback. The bear case, though, is a severe drawdown in earnings, and the timing risk is skewed early if caps begin in January 2027. We would revisit after the final draft regulations or after Q2 FY27, whichever comes first.

Catalysts and risks

- **25 October 2026:** IRDAI comment deadline; any indication of revised caps.
- **Q2 FY27 results (due by 14 November 2026):** consensus revenue Rs 2,142 Cr and EPS Rs 4.37; first read on management's cost actions and quantified mitigation.
- **Draft regulations:** the decisive event; effective date (1 January vs 1 April 2027) matters for FY27E.
- **Upside risks:** renewal commissions carved out; large volume response to cheaper premiums; capital return or buyback given the cash pile.
- **Downside risks:** caps applied to the existing renewal book; clawback mechanics raising cancellations; competitive response from insurers' own direct channels; renewed mis-selling scrutiny.

Sources and references

The company deck and investor relations site block automated retrieval, so company-reported figures were taken from the deck as reported in the secondary sources below. Where sources disagreed (for example, one report gave total premium as Rs 8,732 Cr), we used the figure most sources gave (Rs 8,372 Cr).

Company materials, Q1 FY27

- Q1 FY27 earnings call deck (5 Aug 2026)

Q1 FY27 results coverage

- Investing.com, Q1 FY27 slides summary (5 Aug 2026)
- Multibagg, Q1 FY27 analysis
- Multibagg, Q1 FY27 results
- INDmoney, Q1 FY27 results note (6 Aug 2026)
- Upstox, analyst reactions to Q1 FY27 (6 Aug 2026)
- 5paisa, quarterly results table

Prior quarters

- Inc42, Q4 FY26 results (6 May 2026)
- Inc42, Q3 FY26 results (Feb 2026)
- Quartr, Q4 FY26 earnings summary

Consensus, price and balance sheet

- MarketScreener, earnings calendar and consensus (accessed 14 Oct 2026)
- INDmoney, share price (13 Oct 2026 close)
- Univest, Q2 FY27 preview (15 Sep 2026)
- StockAnalysis, balance sheet FY26

IRDAI consultation and market reaction

- smallcase, IRDAI commission rules and Policybazaar
- Business Standard / Bloomberg, reform timeline (9 Oct 2026)
- MediaNama, 24 Sep analyst call (28 Sep 2026)
- MediaNama, IRDAI caps from Jan 2027 (13 Oct 2026)
- The Strategy Story, IRDAI commission reset
- Business Today, share price fall (24 Sep 2026)
- Mint via TradingView, 48% fall in six sessions (1 Oct 2026)

Disclaimer: This report was prepared as an academic exercise. The rating, scenario values and estimates are illustrative, rely on secondary sources, and are not investment advice or a recommendation to buy or sell any security.